UNIT I

MANAGEMENT PROCESS

3 CHAPTER

MANAGEMENT BY OBJECTIVES (MBO) MANAGEMENT BY EXCEPTION (MBE)

செயற்கை அறிந்தக் கடைத்தும் உலகத்து
இயற்கை அறிந்து செயல்.

–குறள் 637

COUPLET

Though you are acquainted with the (theoretical) methods (of performing an act), understand the ways of the world and act accordingly.

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Learning Objectives

To enable the students to

- understand the meaning and definition of MBO and MBE
- understand the concept of Management by Objectives (MBO)
- understand the concept of Management by Exception (MBE)

Chapter Synopsis

3.01 Meaning and Definition of MBO
3.02 Objectives of MBO
3.03 Features of MBO
3.04 Process of MBO
3.05 Advantages of MBO
3.06 Disadvantages of MBO
3.07 Meaning of MBE
3.08 Process of MBE
3.09 Advantages of MBE
3.10 Disadvantages of MBE

MANAGEMENT BY OBJECTIVES (MBO)

3.01 Meaning and Definition

Management By Objectives (MBO) is a management system in which each member of the organisation effectively participates and involves himself. This system gives full scope to the individual strength and responsibility. MBO harmonises the goal of an individual with the organisation's goal. It creates self-control and motivates the manager into action before somebody tells his to do something.

MBO is popularised in the USA by George Odiorne. According to him, "MBO is a system wherein the superior and the sub-ordinate managers of an organisation jointly identify its common goals, define each individual's major area of responsibility in terms of the result expected of him and use these measures guides for operating the unit and assessing the contribution of each of its members".

Prof. Reddin defines MBO as, "the establishment of effective standards for

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